

BANKING SECTOR: The Calm After the Storm

In 2020, the COVID-19 pandemic negatively affected the banking sector. Most banks responded well to the new restrictions and requirements and were able to initiate business continuity plans during the lockdown periods. Reduced economic activity led to an increase in non-performing loans as businesses struggled to survive and banks were forced to increase provisions thereby lowing their profitability. Some banks decided not to pay dividends as they sought to conserve capital.

In 2021, the economy is expected to gradually recover. Credit grow to the private sector is likely to increase while the improving business conditions should lead to a decrease in the sector's non-performing loan ratio.

Net Interest Income

We expect interest income to rise as banks increase lending to the private sector. Net interest margins (NIMs) are also expected to improve as banks lower their cost of deposits while the yield on interest earning assets improves. NIM expansion, however, is likely to be minimal unless CBK approves banks' risk-based pricing models.

Non-Funded Income

In 2020, the growth of non-funded income was muted as banks removed charges on transfers between mobile money wallets and bank accounts. In 2021, non-funded income growth is likely to be buoyed by increased usage of digital products and cross-selling. The pandemic saw most banks shift their focus to digitization in a bid to better serve their customers as traffic in branches reduced. The number of services offered on digital platforms increased. Increased usage of some of these products is likely to increase the banks' fees and commissions. The increase of excise duty on fees and commissions earned on loans may, however, negatively affect the growth of fees and commission income.

Recommendations

The stock prices of listed banks declined in 2020, as investors remained concerned about deteriorating asset quality, increased provisions, and reduced profitability. In 2021, profitability is likely to increase as economic conditions improve.

BUY recommendation: We issue **BUY** recommendations on **KCB, Stanbic, I&M, ABSA** and **DTB.**

HOLD recommendation: We issue **HOLD** recommendations on **Equity**, **COOP** & **Standard Chartered** due to the limited upside on the current price.

DATE: 6TH JULY 2021

Equity	
Target Price	**50.60**
Recommendation	**HOLD**
KCB	
Target Price	**52.45**
Recommendation	**BUY**
COOP	
Target Price	**14.99**
Recommendation	**HOLD**
Stanbic	
Target Price	**102.92**
Recommendation	**BUY**
ABSA	
Target Price	**12.07**
Recommendation	**BUY**
DTB	
Target Price	**79.00**
Recommendation	**BUY**
Standard Chartered	
Target Price	**145.19**
Recommendation	**HOLD**
I&M Holdings	
Target Price	**36.49**
Recommendation	**BUY**

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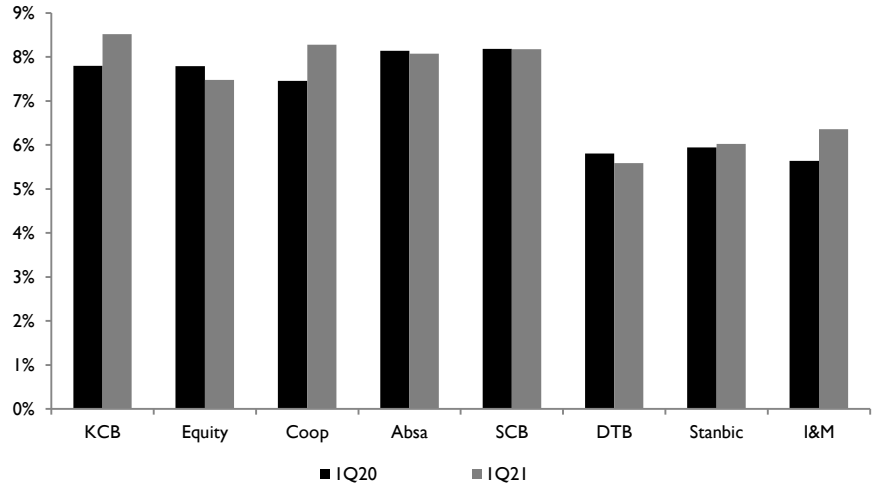
Net Interest Margins

In 2020, yields on interest earning assets declined as the Central Bank adopted an accommodative monetary policy stance in a bid to support economic growth. Commercial banks saw a decline in their net interest margins (NIMs) as the yield on loans declined at a faster rate than the decline in their cost of fund.

For the banks under our coverage, DTB and Stanbic bank had the lowest NIMs which stood at 5.6% and 6.0% respectively, at the end of 1Q21. DTB's low NIMs occurred on the back on its high cost of funds (highest among its peers) and the low yield on loans (lowest among its peers). The low yield may be attributed to the fact that 45% of DTB's loan book is in foreign currency, thus its lending rates have been affected by the low interest rates in the developed world. When the US Fed begins to raise interest rates, DTB's NIMs are likely to improve as the yield on loans is likely to rise faster than the cost of deposits.

Meanwhile, Coop and Equity have the highest yield on loans while StanChart has the lowest deposit yield as it has been able to attract cheap deposits. Equity bank's yield on loans are likely to remain elevated due to its focus on SMEs.

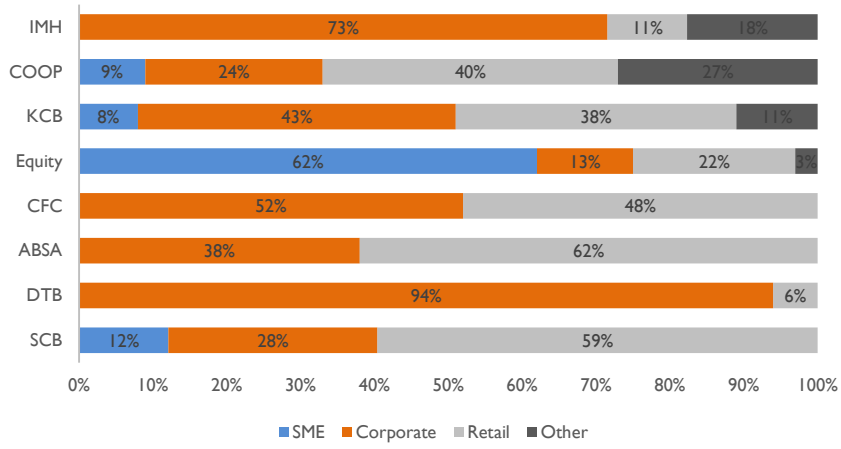
Graph 1: Net Interest Margins



Source: AIB-AXYs research

- **NIM expansion when banks adopt risk-based pricing:** Following the removal of interest rate caps, in 2019, commercial banks presented their risk-based pricing models to CBK for approval. Once CBK approves these models, NIMs are expected to increase. We expect DTB to record the lowest NIM expansion due to their relatively high exposure to foreign denominated loans. Banks with high exposure to the SME and retail sectors are likely to see the largest NIM expansion. Equity bank is likely to benefit the most due to its huge exposure to the SME sector.
  We, however, don't expect CBK to approve these models soon thus haven't factored this NIM expansion in our forecasts.

Graph 2: Loan book composition



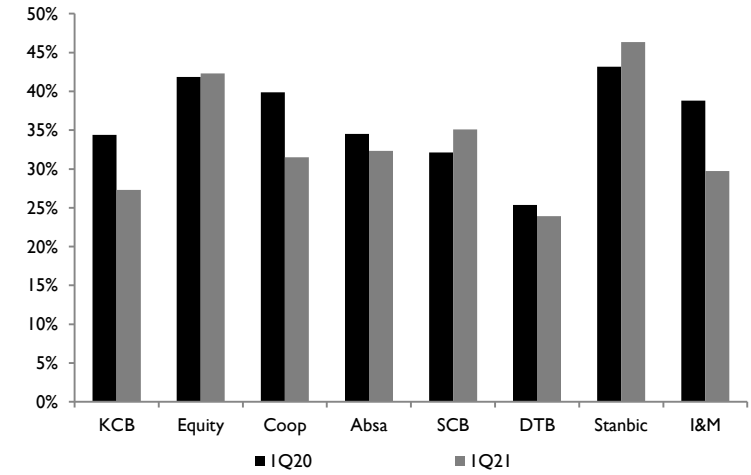
Source: AIB-AXYs research, Company Filings

Non-Interest Income

In 2020, CBK instructed banks to remove charges on transfers between mobile money wallets and bank accounts. This lowered the non-interest income for most banks but also increased the usage of this service, a trend that could continue even after fees are re-introduced. As these fees are re-introduced, banks' non-funded income are likely to increase. KCB's decline in its non-funded to total income ratio may be attributed to a 43% decrease in mobile banking revenues due to fee waivers and reduced mobile lending.

Stanbic and Equity Bank have the highest non-interest to total income ratio due to the alternative services that they offer their clients and the fees and commission that they earn from other products. StanChart and Absa are likely to see these ratio increase as their wealth management businesses increase.

Graph 3: NFI/Total Income



Source: AIB-AXYS Research, Company Fillings

DTB and I&M have the lowest ratio of NFI to total income as they have historically focused on growing their loan book. These two banks have recently invested in technology and are trying to cross-sell their products to their customers.

Table 1 shows the degree to which banks have reduced their reliance on their branch network. The impact of this is that the cost to income ratios are likely to decrease. It also provides a channel for the banks to cross-sell their products and increase non-interest income.

Table 1: Technology use

	SCB	DTB	COOP	KCB	STANBIC	ABSA	IMH	EQTY
Transactions conducted in non-branch channels	90%	79%	93%	98%	80%	87%	67%	98%
Automated lending	In progress	No	Yes	Yes	Yes	Yes	Yes	Yes

Relative to the other banks, DTB and I&M are more reliant on their branch network. The two banks concentrated on growing their digital planforms last year and increased the number of services that they offered. This saw a decrease in the volume transactions conducted in the branch. We expect this trend to continue in 2021.

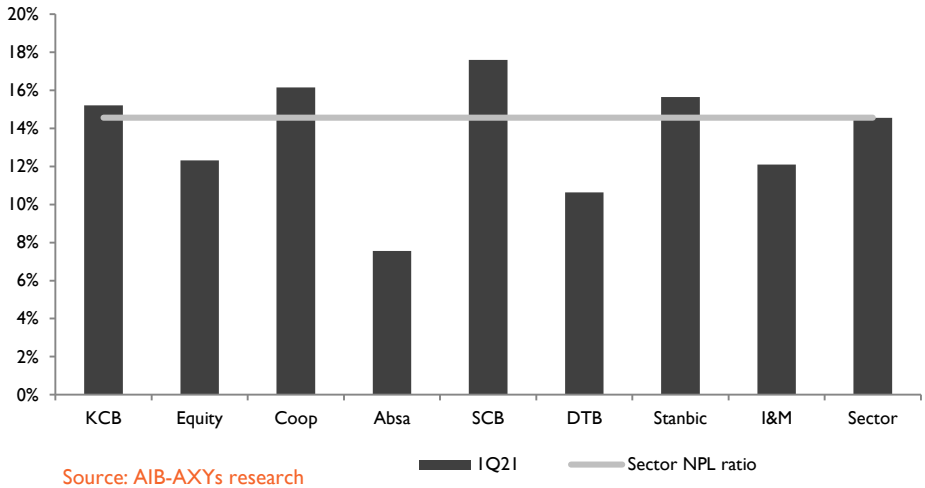
- **Higher excise duty negative for banks:** From June 2021, the excise duty on fees and commissions earned on loans has increased to 20%. This is expected to negatively affect the growth of fees and commission income. It is likely that most banks will pass these higher costs to customers which will increase the cost of credit at a time when CBK is trying to spur private sector credit growth as it seeks to buoy economic growth.

  Mobile lending is likely to be the most affected product as the bulk of the charges on this product are fees and commission as opposed to interest income. We could also see banks increase the interest charged on this products and reduce some of their fees. The uptake of mobile loans might decrease as a result of this development.

Asset Quality

In 2020, the non-performing loans in the banking sector increased as businesses struggled to survive due to the measures put in place by the government to control the spread of the Corona virus. Absa's NPL ratio remained in single digits despite the bank's exposure to unsecured retail loans, StanChart's NPL ratio registered a marginal increase while Coop saw the largest increase in its NPL ratio. Coop's books improved in 1Q21 and it was the only bank to record a decline in its NPL ratio. We expect its cost of risk to normalize.

Graph 4: NPL ratio



Source: AIB-AXYs research

Valuation Summary

We use P/B multiples to value the Tier1 banks. To calculate the cost of equity, we make the following assumptions:

- Risk free rate (5 year government bond): 11.10%
- Equity risk premium: 5%
- Beta: 1

We issue a **BUY** recommendation of KCB, Stanbic, Absa, I&M, and DTB, and a **Hold** recommendation on Equity, Coop and Standard Chartered Bank.

Table 2:Valuation Summary

	Equity	KCB	COOP	Stanbic	Absa	DTB	SCBK	I&M
CoE	16.1%	16.1%	16.1%	16.1%	16.1%	16.1%	16.1%	16.1%
Risk free rate	11.1%	11.1%	11.1%	11.1%	11.1%	11.1%	11.1%	11.1%
ERP	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Growth	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
Exit P/B	1.43	1.17	1.00	0.99	1.57	0.49	1.00	0.94
Target Price	**50.6**	**52.45**	**14.99**	**102.92**	**12.07**	**79.00**	**145.19**	**36.49**
Current Price	46.5	42.70	13.50	83.00	9.42	59.00	130.00	21.85
Upside	**8.8%**	**22.8%**	**11.0%**	**24%**	**28.1%**	**33.9%**	**11.7%**	**67.0%**
Recommendation	**HOLD**	**BUY**	**HOLD**	**BUY**	**BUY**	**BUY**	**HOLD**	**BUY**

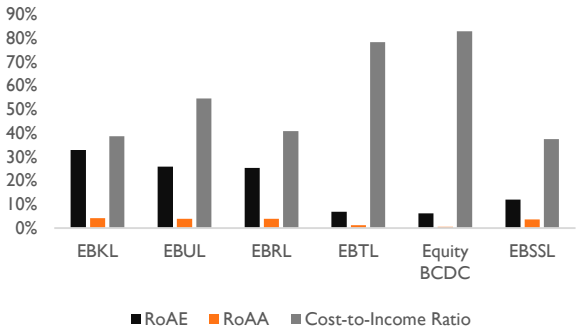
Equity Group

We issue a **HOLD** recommendation on Equity Group at a target price of KES 50.6 representing an upside of 8.8% on the current price of KES 46.50. Our valuation is informed by prevailing uncertainty in the economy that has led to a slowdown in business activity.

- **Rebound in economy to boost business growth in Congo:** In 2020, Equity Bank Congo (EBC) and Banque Commerciale du Congo (BCDC) merged to form Equity BCDC. Equity's expansion in DRC was driven by the desire of the bank to take advantage of the country's growth potential. DRC is viewed as a fertile ground for regional expansion given its population of over 85M people and a low banking penetration rate of 6%. Equity lends to corporates and personal consumers in DRC on an 50-50 basis. Equity is looking to grow its business by leveraging on its strength in lending to SMEs who form part of the mining and trade business in the country while expanding its reach to the corporates. The group is also expected to leverage on digitization to optimize operations. Equity now operate 74 branches in DRC with an asset base of over USD 3B.

  Since the merger, DRC has dragged down the group's profitability as the country was greatly affected by the COVID-19 pandemic.

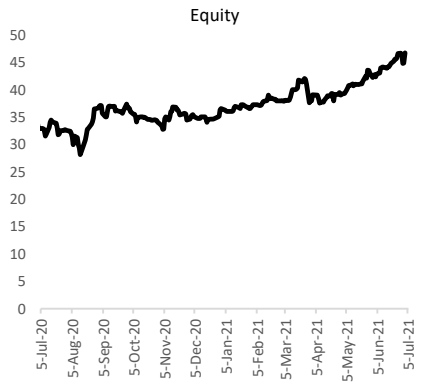
Graph 5: Regional businesses



Source: AIB-AXYs research , Company Fillings

This year, we expect Equity BCDC's profitability to increase on the back of improving economic conditions. The IMF forecasts a GDP growth of 3.9% in FY21 and 4.9% in FY22 in the country buoyed by strong performance in the mining sector and high global prices for copper and cobalt, two of its main commodity exports. This rebound will also be driven by an increase in oil production, growth in services, and the revival of investment. DRC's central bank has cut its benchmark interest rate thrice this year to 8.5% in June from 18.5% at the beginning of the year, given a slowdown in inflation (headline inflation dipped to 8.9% in May from a peak of 15.7% in August 2020 and is forecast to hit 4.54% by the end of the calendar year). The easing of financing conditions is expected to promote lending which is likely to boost banking operations for Equity Group.

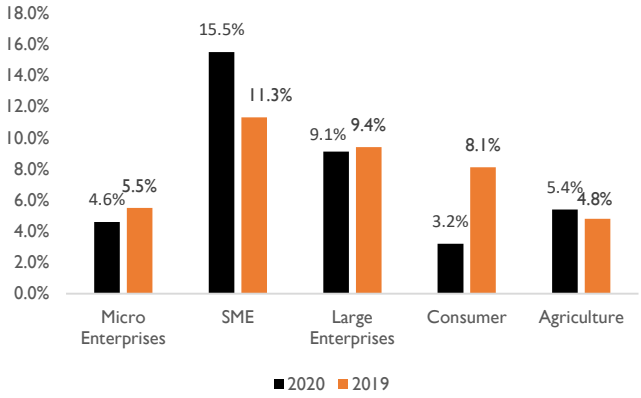
Target Price:	**KES 50.6**
Upside:	**8.8%**
Current Price:	**KES 46.50**
52 Week Low:	**KES 28.10**
52 Week High:	**KES 47.00**
FY20 EPS:	**KES 5.24**
ROaE:	**16.6%**
ROaA:	**2.3%**
Dividend Yield:	**N/A**



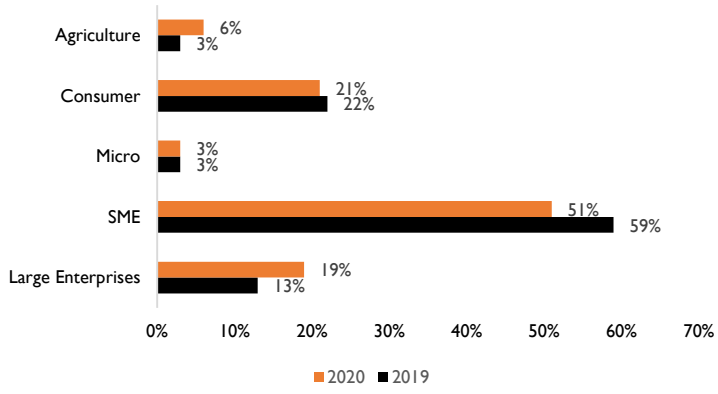
Source: AIB-AXYS Research, NSE

➢ **Decreased lending to the SME sector to support asset quality improvement:** Small and micro-enterprises were greatly affected by the measures taken by the government to prevent the spread of the COVID-19 pandemic. Equity Bank's exposure to the SME sector has remained a concern in the current environment. However, a look at the loan book composition shows the group reduced its exposure in the SME sector by 8% while increasing lending to large enterprises and the agricultural sectors.

Graph 6: NPLs by Sector



Graph 7: Loan Book Composition



Source: AIB-AXYS research, Company Fillings

The Group's NPL ratio stood at 11.0% below an industry average of 14.6% with the highest contribution stemming from Tanzania and Kenya at 35.4% and 11.5% respectively.

In 2020, the Bank restructured KES 171B (31% of the loan book). In 1Q21, KES 59 bn of these loans were being serviced while KES 9 bn had been downgraded to NPLs. KES 103B (19% of the loan book) remains under moratorium with KES 66B expected to resume payment in the next 6 months.

Given the Bank's huge exposure to the SME sector, in FY21, we expect cost of risk to remain above historical average but decline from 6.3% to 3.5%.

Table 3: Financial Statement Summary

Income Statement (KES M)	2019	2020	2021	2022	2023	2024
Interest income	59,723	73,765	91,246	107,311	130,685	146,341
interest expense	-14,740	-18,616	-26,485	-29,808	-35,240	-40,782
Net interest income	44,982	55,149	64,761	77,503	95,445	105,559
Net interest income Y/Y %	**9%**	**23%**	**17%**	**20%**	**23%**	**11%**
Non-funded income	30,780	38,508	45,333	54,252	66,812	73,891
Non-funded income Y/Y %	**19%**	**25%**	**18%**	**20%**	**23%**	**11%**
Total operating income	75,762	93,657	110,094	131,755	162,257	179,450
Total operating income y/y %	**13%**	**24%**	**18%**	**20%**	**23%**	**11%**
Provision for impairment	-5,303	-26,631	-18,370	-21,451	-14,950	-16,800
Operating expenses	-38,982	-46,033	-55,047	-65,877	-81,128	-89,725
OpEx Y/Y%	**11%**	**18%**	**20%**	**20%**	**23%**	**11%**
Profit before tax	31,477	20,992	36,677	44,427	66,178	72,925
PBT Y/Y%	**11%**	**-33%**	**75%**	**21%**	**49%**	**10%**
Taxation	-8,917	-2,070	-11,003	-15,549	-23,162	-25,524
Effective tax rate (%)	**-28%**	**-10%**	**-30%**	**-35%**	**-35%**	**-35%**
Profit After tax	22,561	20,100	25,674	28,877	43,016	47,401
PAT Y/Y%	**14%**	**-11%**	**28%**	**12%**	**49%**	**10%**

Balance sheet						
Cash & balance with CBK	47,800	61,118	64,598	74,288	85,431	97,391
Government securities	172,208	217,408	234,167	269,292	309,686	353,042
Loans and advances to customers	366,440	477,847	524,857	612,872	747,518	839,997
Loans and advances Y/Y%	**23%**	**30%**	**10%**	**17%**	**22%**	**12%**
Property and equipment	11,031	15,904	21,242	26,285	32,364	39,329
Total assets	673,683	1,015,093	1,087,106	1,224,171	1,452,648	1,646,279
Total assets Y/Y %	**17%**	**51%**	**7%**	**13%**	**19%**	**13%**
Customer deposits	482,752	740,801	807,473	928,594	1,067,883	1,217,386
Customer deposits Y/Y%	**14%**	**53%**	**9%**	**15%**	**15%**	**14%**
Borrowings	56,601	87,221	88,822	92,859	117,467	133,913
Other Liabilities	22,439	38,390	40,374	48,287	57,666	48,695
Total liabilities	561,906	876,453	936,669	1,069,740	1,243,016	1,399,994

Source: AIB-AXYs research

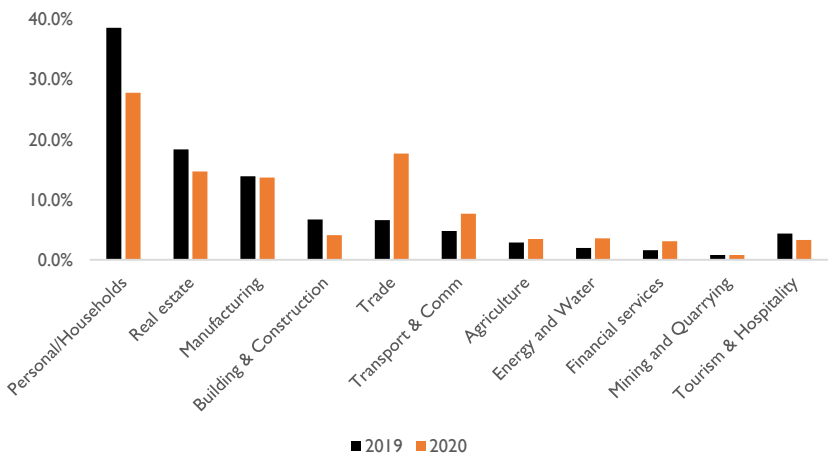
KCB Group

We maintain our **BUY** recommendation on KCB Group at a target price of KES 52.45 representing an upside of 22.8% on the current price of KES 42.70. Our valuation is informed by prevailing uncertainty in economic recovery following the effecting of containment measures that have seen a slowdown in business activity.

- **Loan composition may see provisions remain a concern:** In the current environment, economic activity is likely to remain muted and several businesses may continue to struggle. In our view, the transport & communication and the tourism and hospitality sectors are likely to be the most affected. Given the Bank's huge exposure to the SME sector, in FY21, we expect cost of risk to remain above historical average but decline from 4.8%.

  A look at the group's loan book composition indicates a year-on-year decline in loans in the personal/household space (which would be perceived as relatively stable given that most loans are check off and are mostly offered to government employees), and an increase in trade and the transport and communication sectors in which we may see business struggle.

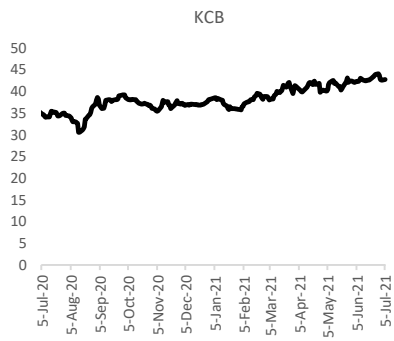
Graph 8: Loan Book Composition



Source: AIB-AXYS Research, Company Filings

It is worth noting that that in comparison to an industry average of 54.2% of loan restructures, the Group restructured only 19.6% of its total loan book (KES 106.1B) which we view as a positive development, as majority of its customers were able to service their loans despite the tough operating environment.

Target Price:	**KES 52.45**
Upside:	**22.8%**
Current Price:	**KES 42.70**
52 Week Low:	**KES 30.00**
52 Week High:	**KES 44.35**
FY20 EPS:	**KES 6.10**
ROaE:	**13.6%**
ROaA:	**2.1%**
Dividend Yield:	**8.3%**



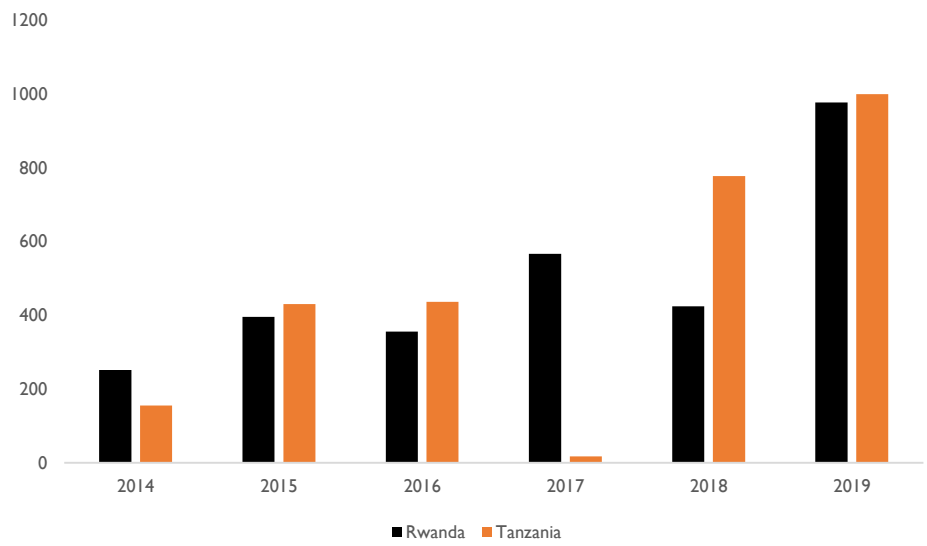
Source: AIB-AXYS Research, NSE

- **Regional expansion to strengthen grip on the East African market:** The Group signed a definitive agreement with Atlas Mara Limited (ATMA) to acquire a 62.06% stake in Banque De Populaire du Rwanda (BPR) in Rwanda and 100% stake in African Banking Corporation Tanzania Limited (BancABC). The Group also separately intends to make an offer to acquire the remaining shares from the respective shareholders. Its expansion in Rwanda will see the bank emerge as the second largest bank in the country while cementing its presence in Tanzania. In FY20, BPR had an asset base of KES 444.6B and a PAT of 423.2M while as at 1H20, ABC Tanzania had loans worth KES 5.5B and deposits worth KES 7.1B. ABC Tanzania reduced its net loss h/h due to increased focus on credit and costs driven by lower impairment charges on improved asset quality and operating expenses, which helped to offset lower income due in part to acute liquidity challenges.

  In FY20, the Rwanda subsidiary had a PBT 493M (-33.2% y/y) while that Tanzania had a PBT of 493M (-50.7% y/y). In Rwanda we expect the bank to increase its footprint in SME banking by expanding lending in agriculture while optimizing its digital operations.

  We anticipate that the bank will continue to focus on the retail segment in Tanzania given declining margins in corporate banking. The industry will however continue to face challenges brought about by a tough operating environment with the prevalence of the Coronavirus pandemic that may see NPLs remain elevated and a tough regulatory environment. In January, the Bank of Tanzania (BOT) gave a direction that commercial banks and financial institutions must maintain their cost-to-income ratios at not more than 55%, while NPLs should not exceed 5% of total loans by end of FY22.

Graph 9: Subsidiary Profitability (KES M)



Source: AIB-AXYS Research, Company Filings

Table 4: Financial Statement Summary

Income Statement (KES M)	2019	2020	2021	2022	2023
Interest income	79,644	92,951	107,223	119,230	135,944
Interest expense	-18,220	-20,807	-23,486	-26,243	-29,509
Net interest income	61,424	72,144	83,737	92,987	106,435
Net interest income y/y	**26%**	**17%**	**16%**	**11%**	**14%**
Non-funded income	22,877	23,852	28,305	31,976	34,319
Non-funded income y/y	**0%**	**4%**	**20%**	**13%**	**13%**
Total operating income	84,301	95,996	112,042	124,963	140,754
Total operating income y/y	**17%**	**14%**	**17%**	**12%**	**13%**
Provision for impairment	-8,889	-27,509	-30,296	-33,968	-34,781
Operating expenses	-38,215	-42,624	-45,359	-50,273	-55,408
OpEx y/y	**10%**	**12%**	**11%**	**11%**	**11%**
Profit before tax	36,897	25,719	36,387	40,721	50,565
PBT y/y	**8%**	**-30%**	**41%**	**12%**	**24%**
Taxation	-11,732	-6,430	-10,916	-12,216	-15,169
Effective tax rate	-30%	-25%	-30%	-30%	-30%
Profit After tax	25,165	19,604	25,471	28,505	35,395
PAT y/y	**5%**	**-22%**	**30%**	**12%**	**24%**

Balance sheet					
Cash & balance with CBK	83,235	64,608	93,114	107,900	118,196
Government securities	164,866	210,784	237,132	265,879	298,612
Loans and advances to customers	539,747	595,255	673,239	754,854	869,525
Loans and advances y/y	**18%**	**10%**	**13%**	**12%**	**15%**
Property and equipment	13,132	14,629	17,787	20,042	22,523
Total assets	898,572	987,810	1,127,862	1,257,157	1,415,443
Total assets y/y	**26%**	**10%**	**10%**	**11%**	**13%**
Deposits due to other banks	20,371	19,668	23,222	25,113	28,724
Customer deposits	686,583	767,224	863,128	967,762	1,086,906
Customer deposits y/y	**28%**	**12%**	**13%**	**12%**	**12%**
Borrowings	21,813	37,032	35,292	39,632	44,477
Total liabilities	768,831	845,387	984,245	1,101,617	1,238,877
Total Liabilities y/y	**28%**	**10%**	**16%**	**12%**	**12%**
Shareholders' funds	137,406	150,088	143,618	155,540	176,567

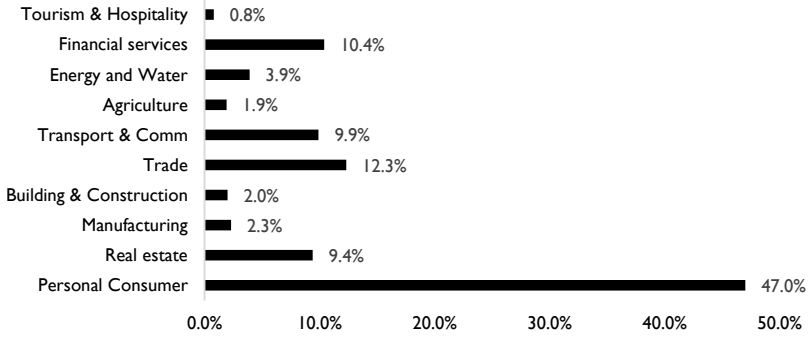
Source: AIB-AXYs research

Co-operative Bank of Kenya

We issue a **HOLD** recommendation on Co-operative Bank at a target price of KES 14.99 representing an upside potential of 11.0% on the current price of KES 13.50. Our view is informed by the Group's diverse loan book with low exposure in high-risk sectors.

- **Low relative exposure to high-risk sectors:** We forecast loan book expansion of 13.6% y/y on the back of increased lending to MSMEs in the agricultural and renewable energy sector supported by a KES 8.3B loan drawdown from IFC. Despite the slowdown in business activity occasioned by the current containment measures, we remain optimistic of an improvement in business activity in 2H20 fueled by MSMEs.

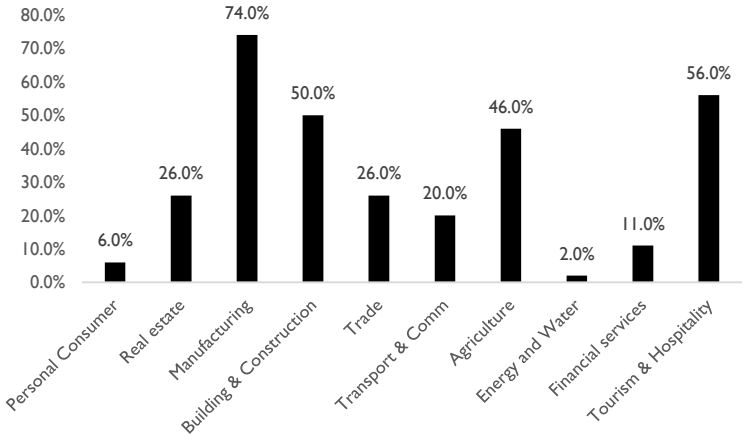
Graph 10: Loan Book Composition



Source: AIB-AXYS Research

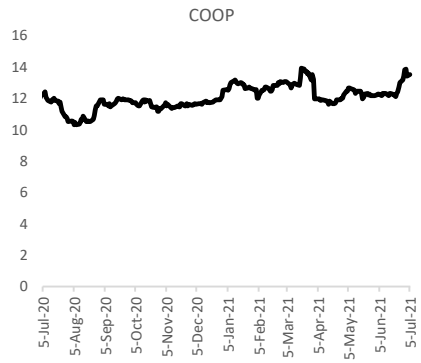
As illustrated above, the bank's exposure to the high-risk sectors that have been largely affected by the prevailing pandemic including tourism & hospitality and transport & communication remains low therefore shielding further asset quality deterioration. The Group restructured 17.1% of its loan book given the tough operating environment. A look at its portfolio composition illustrates diversification benefits of its loan book with the highly nonperforming book representing a smaller composition of its loan book per sector

Graph 11: Non-Performing Book Per Sector



Source: AIB-AXYS Research, Company Filings

Target Price:	**KES 14.99**
Upside:	**11.0%**
Current Price:	**KES 13.50**
52 Week Low:	**KES 10.20**
52 Week High:	**KES 14.05**
FY20 EPS:	**KES 1.98**
ROaE:	**13.6%**
ROaA:	**2.4%**
Dividend Yield:	**8.2%**

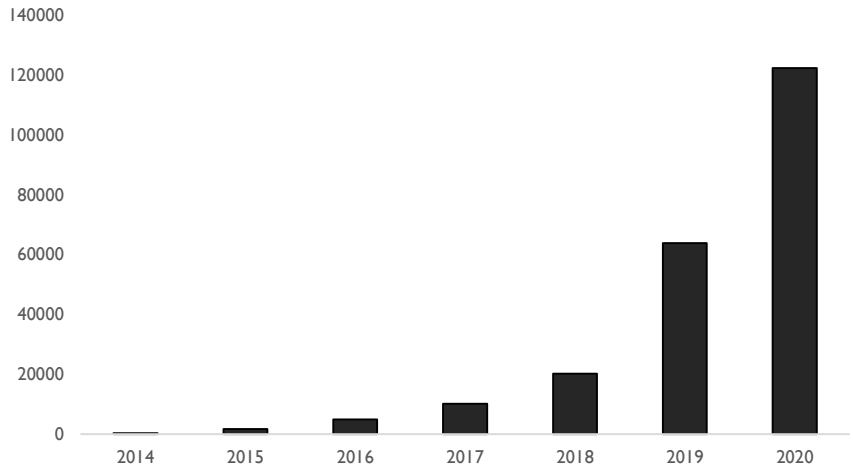


Source: AIB-AXYS Research, NSE

- **Jamii Bora, a worthwhile investment?** We remain concerned over the KES 1B acquisition of Jamii Bora bank with the current operating environment expected to delay realization of profits from acquisition of the ill-fated bank. Jamii Bora has an NPL ratio of 49.7% and was operating at a negative equity position of KES 12.8B which the Group is likely to pump in. The opportunity in acquisition of Jamii Bora rests on its SME business with Co-operative Bank looking to expand lending to MSMEs. However, in the current operating environment, the subsidiary may prove to be problematic. With SMEs struggling in the current environment and persistent uncertainty around the virus, we may see the Group take longer to realize value in the already cash strapped bank.

- **MCOOP Cash drives loan growth:** The group's focus on optimization of operations through digitization has seen continued increase in mobile transactions. The bank's salary loan on MCoop Cash is expected to drive loan book growth with an average disbursement of KES 4B monthly. In FY20, loans disbursed on the app swelled 91.7% y/y to KES 122.2B despite the prevailing pandemic. The loans also have a relatively low NPL ratio given its check off system. Lending on the app is also expected to boost non funded income with a rise in transaction fees. We project a 15% y/y growth in NFI given the resumption of charges on mobile money transactions that had been waived to cushion citizens against the effects of the covid pandemic.

Graph 12: Loan Disbursement on MCOOP CASH (KES M)



Source: AIB-AXYS Research, Company Filings

Table 5: Financial Statement Summary

Income Statement (KES M)	2019	2020	2021	2022	2023
Interest income	43,639	48,841	54,674	59,275	66,844
Interest expense	-12,336	-12,492	-13,654	-15,600	-16,805
Net interest income	31,303	36,349	41,021	43,676	50,039
Net interest income y/y	**0%**	**16%**	**13%**	**6%**	**15%**
Non-funded income	17,070	17,481	19,928	23,316	26,930
Non-funded income y/y	**40%**	**2%**	**14%**	**17%**	**16%**
Total operating income	48,373	53,830	60,949	66,991	76,969
Total operating income y/y	**11%**	**11%**	**13%**	**10%**	**15%**
Provision for impairment	-2,539	-8,112	-7,959	-8,477	-8,298
Operating expenses	-27,794	-39,398	-43,884	-49,222	-54,881
OpEx y/y	**9%**	**42%**	**11%**	**12%**	**11%**
Profit before tax	20,706	14,282	17,236	17,941	22,259
PBT y/y	**14%**	**-31%**	**21%**	**4%**	**24%**
Taxation	-6,395	-3,469	-4,728	-5,276	-6,030
Effective tax rate	**-30%**	**-30%**	**-30%**	**-30%**	**-30%**
Profit After tax	14,311	10,813	12,508	12,664	16,229
PAT y/y	**12%**	**-24%**	**16%**	**1%**	**28%**

Balance sheet					
Cash & balance with CBK	28,892	29,749	34,933	36,318	40,442
Government securities	117,803	163,018	178,782	186,207	216,122
Loans and advances to customers	266,713	286,634	325,613	352,524	401,864
Loans and advances y/y	**9%**	**7%**	**14%**	**8%**	**14%**
Property and equipment	11,421	11,992	12,592	13,222	13,883
Total assets	457,009	536,945	637,240	673,342	762,882
Total assets y/y	**10%**	**17%**	**12%**	**6%**	**13%**
Deposits due to other banks	177	222	553	613	679
Customer deposits	332,824	378,630	415,245	459,755	512,094
Customer deposits y/y	**9%**	**14%**	**10%**	**11%**	**11%**
Borrowings	26,424	46,026	31,465	34,831	38,910
Total liabilities	376,152	444,897	461,670	510,381	569,620
Total Liabilities y/y	**10%**	**18%**	**4%**	**11%**	**12%**
Shareholders' funds	79,335	90,726	94,557	101,489	111,978

Source: AIB-AXYs research

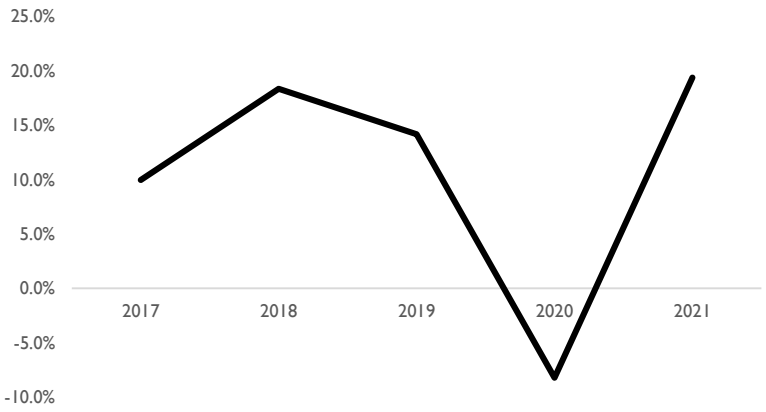
Stanbic Holdings

We maintain our **BUY** recommendation on Stanbic Holdings at a target price of KES 102.92 representing an upside potential of 24.0% on the current price of KES 83.00. Our view is informed by the Groups diverse loan book with low exposure in high-risk sectors.

- **Increased non-funded income to buoy bottom-line:** We project a 19.4% y/y growth in non-funded income on the back of an increase in fees and commissions following the resumption of fees on mobile transactions after the lapse of the CBK measures to cushion citizens against the effects of the pandemic.

  We further anticipate an improvement in investment banking deals while activity at the bourse is expected to rise thereby increasing brokerage fees. Projected growth in economic activities is expected to see an improvement in commissions from insurance franchises given the anticipated growth in insurance premiums. Increased client flows and higher trading activity supported by foreign exchange volatility are expected to push growth in trading income.

Graph 13: Non-Funded Income Growth (%)

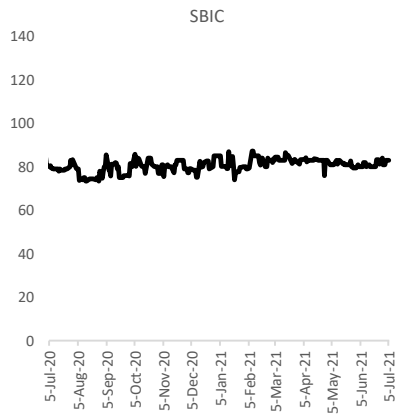


Source: AIB-AXYS Research, Company Filings

- **NIMs to remain subdued:** We anticipate that the Groups' NIMs may remain subdued as CBK maintains an accommodative monetary policy stance. NIMs are, however, expected to expand as yields on interest earning assets increase while cost of deposits decrease.

- **Improved liquidity to boost loan book growth:** Pegged on expected economic recovery, loan book growth is expected to be on the rise with increased working capital needs by businesses. The bank is expected to push its efforts to solidify its presence in the SME space with the anticipated economic recovery likely to boost its prospects. Opportunities in asset financing are likely to recover in line with business conditions.

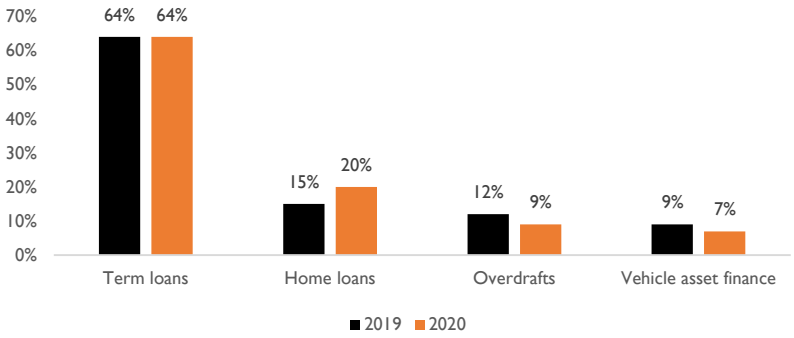
Target Price:	**KES 102.92**
Upside:	**24.0%**
Current Price:	**KES 83.00**
52 Week Low:	**KES 72.25**
52 Week High:	**KES 92.00**
FY20 EPS:	**KES 13.13**
ROaE:	**10.3%**
ROaA:	**1.6%**
Dividend Yield:	**6.6%**



Source: AIB-AXYS Research, NSE

We forecast that the loan book growth will be steered by an increase in corporate banking as well as secured personal lending segments as the lender takes advantage of improved margins to expand its asset book.

Graph 14: Loan Book Composition



Source: AIB-AXYs research , Company Filings

Table 6: Financial Statement Summary

Income Statement (KES M)	2019	2020	2021	2022	2023	2024
Interest income	20,961	20,302	22,684	26,745	30,740	35,405
Interest expense	-7,613	-7,507	-8,762	-10,106	-11,383	-13,314
Net interest income	13,348	12,795	13,922	16,639	19,356	22,091
Net interest income y/y	**10%**	**-4%**	**9%**	**20%**	**16%**	**14%**
Non-funded income	11,376	10,442	12,466	14,673	15,537	17,471
Non-funded income y/y	**14%**	**-8%**	**19%**	**18%**	**6%**	**12%**
Total operating income	24,724	23,237	26,388	31,312	34,894	39,562
Total operating income y/y %	**12%**	**-6%**	**14%**	**19%**	**11%**	**13%**
Provision for impairment	-3,151	-4,876	-4,245	-4,587	-5,192	-6,025
Operating expenses	-13,863	-12,134	-13,232	-15,307	-16,733	-18,256
OpEx y/y	**25%**	**-12%**	**9%**	**16%**	**9%**	**9%**
Profit before tax	7,710	6,227	8,911	11,418	12,969	15,280
PBT y/y	**-14%**	**-19%**	**43%**	**28%**	**14%**	**18%**
Taxation	-1,329	-1,035	-2,673	-3,425	-3,891	-4,584
Effective tax rate	**-17%**	**-17%**	**-30%**	**-30%**	**-30%**	**-30%**
Profit After tax	6,381	5,192	6,238	7,993	9,078	10,696
PAT y/y	**2%**	**-19%**	**20%**	**28%**	**14%**	**18%**

Balance sheet						
Cash & balance with CBK	17,251	18,077	20,638	24,807	27,991	32,383
Government securities	70,078	87,584	95,473	114,719	129,747	150,907
Loans and advances to customers	152,817	158,180	184,545	218,445	247,220	286,898
Loans and advances y/y	**4%**	**4%**	**17%**	**18%**	**13%**	**16%**
Property and equipment	2,302	2,242	2,530	2,703	3,003	3,320
Total assets	303,625	328,593	374,017	442,146	500,204	575,193
Total assets y/y	**4%**	**8%**	**14%**	**18%**	**13%**	**15%**
Deposits due to other banks	30,451	42,526	41,513	50,528	59,711	66,729
Customer deposits	194,222	217,444	250,061	292,430	335,221	387,266
Customer deposits y/y	**1%**	**12%**	**15%**	**17%**	**15%**	**16%**
Borrowings	9,127	5,504	9,100	10,595	10,943	13,589
Other Liabilities	14,725	6,581	10,588	17,725	16,169	20,169
Total liabilities	254,590	276,863	317,881	379,067	429,886	496,018
Total Liabilities y/y	**4%**	**9%**	**15%**	**19%**	**13%**	**15%**
Shareholders' funds	49,035	51,730	56,136	63,080	70,318	79,174

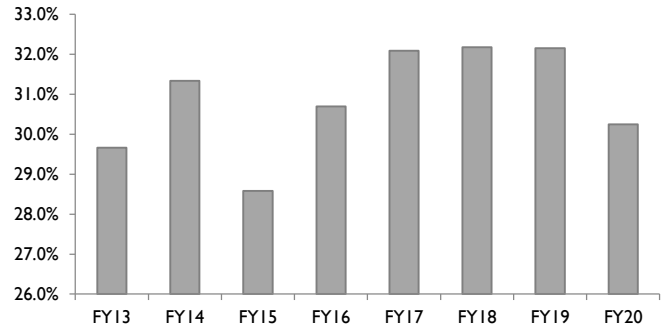
Source: AIB-AXYs research

Standard Chartered Bank

We issue a **HOLD** recommendation on Standard Chartered Bank with a target price of KES 145.19 representing an upside potential of 11.7% on the current price of KES 130.0. We find the company's dividend policy attractive but remain concerned about the non-performing loans.

- **Decline in non-funded income:** In 2020, StanChart's non-funded income to total income ratio declined to 30% as the bank removed fees on digital transfers. In 1Q21, the ratio improved to 35% mainly driven by other fees and commission and forex income. This ratio is likely to improve when the bank re-introduces fees on digital transfers. Fees from wealth management are also likely to spur NFI growth.

Graph 15: Non-Funded Income to total income



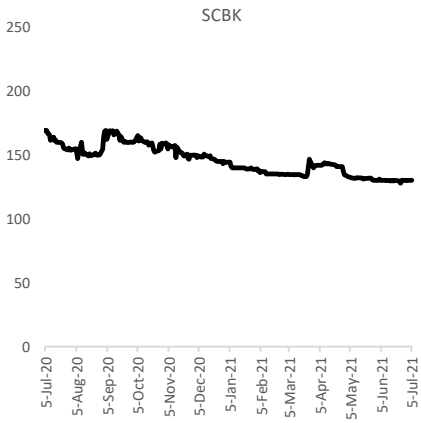
Source: AIB-AXYs research

- **Digital banking a key driver of growth:** The bank has reduced traffic in branches and currently, 90% of transactions are conducted outside the branch. This was supported by its investment on its digital systems as its online platform has been recognized as one of the best in the market.

  There is still room for the bank to increase the adoption of its digital platforms as 33% of its clients are not active on the digital channel. The digital platform has been embraced by the corporate clients who are served through an online banking platform (Straight2Bank) where the penetration and utilization rates stand at 93%.

  Retail clients are served through the SC Mobile app which currently offers over 70 services. The bank are working on automating lending and credit card offerings. The usage of this product is relatively low, given that only 67% of clients are active on digital platform versus 93% in the corporate segment. The bank is trying to increase usage on the platform and the recently introduced product may help them achieve this.

Target Price:	**KES 145.19**
Upside:	**11.7%**
Current Price:	**KES 130.00**
52 Week Low:	**KES 127.00**
52 Week High:	**KES 170.00**
FY20 EPS:	**KES 13.95**
ROaE:	**11.0%**
ROaA:	**1.7%**



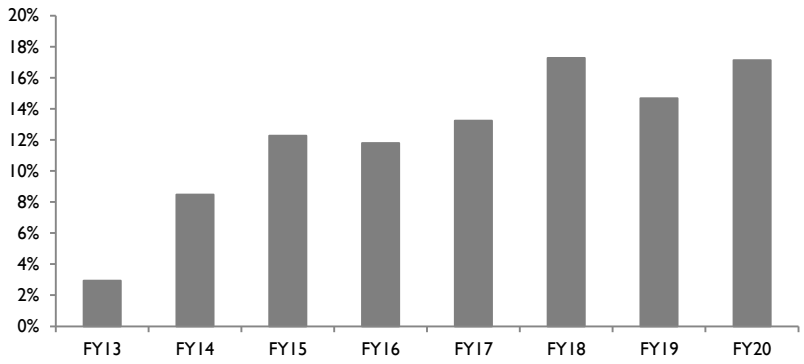
Source: AIB-AXYS Research, NSE

- **Growth opportunities:** The bank can grow its non-interest income by focusing on the following products:
  - **Wealth Management:** StanChart has been working on growing its wealth management business and has increased the its product offering. Under wealth management, the bank has rolled out home, motor, travel and farewell insurance, off-shore mutual funds, fixed income, and foreign exchange. In 2020, asset under management were up 90% to KES 129 billion. Wealth solutions now contribute 21% of retail banking revenue

  - **Digital Banking:** There are currently over 70 services on the StanChart's Mobile app. The bank actively promotes these services to its clients. Increased uptake of these products could increase the growth of non-interest income.

- **High NPL ratio:** The bank's rising NPL ratio remains a source of concern. StanChart's NPL ratio was above the industry average during the pre-pandemic period. We expect the bank's NPL ratio to remain elevated.

Graph 16: NPL



Source: AIB-AXYs research, Company Filings

Table 7: Financial Statement Summary

Income Statement (KES M)	2019	2020	2021	2022	2023	2024
Interest income	25,272	23,734	24,933	27,305	30,187	32,527
Interest expense	-5,800	-4,617	-4,580	-5,978	-6,348	-6,685
Net interest income	19,472	19,117	20,353	21,327	23,839	25,842
Net interest income y/y		**-2%**	**6%**	**5%**	**12%**	**8%**
Non-funded income	9,227	8,290	9,362	10,130	11,443	12,921
Non-funded income y/y	**0%**	**-10%**	**13%**	**8%**	**13%**	**13%**
Total operating income	28,700	27,407	29,715	31,457	35,282	38,763
Total operating income y/y %	**0%**	**-5%**	**8%**	**6%**	**12%**	**10%**
Provision for impairment	-573	-3,882	-2,659	-2,763	-2,245	-2,030
Operating expenses	-15,953	-16,129	-16,641	-17,616	-19,546	-21,242
OpEx y/y	**8%**	**1%**	**3%**	**6%**	**11%**	**9%**
Profit before tax	12,174	7,396	10,415	11,078	13,491	15,491
PBT y/y	**-1%**	**-39%**	**41%**	**6%**	**22%**	**15%**
Taxation	-3,937	-1,956	-3,125	-3,323	-4,722	-5,422
Effective tax rate	**-32%**	**-26%**	**-30%**	**-30%**	**-35%**	**-35%**
Profit After tax	8,237	5,440	7,291	7,755	8,769	10,069
PAT y/y	**-3%**	**-34%**	**34%**	**6%**	**13%**	**15%**

Balance sheet						
Cash & balance with CBK	20,621	16,944	18,283	19,488	21,582	26,022
Government securities	99,611	99,779	110,807	114,893	120,245	125,232
Loans and advances to customers	128,690	121,524	132,968	145,434	160,327	169,145
Loans and advances y/y	**8%**	**-6%**	**9%**	**9%**	**10%**	**5%**
Property and equipment	3,894	3,856	3,878	3,781	4,008	3,903
Total assets	302,139	325,605	351,717	371,048	393,311	415,594
Total assets y/y	**6%**	**8%**	**8%**	**5%**	**6%**	**6%**
	0%	**0%**	**0%**	**0%**	**0%**	**0%**
Deposits due to other banks	8,028	454	1,007	1,639	2,354	3,134
Customer deposits	228,434	256,498	277,017	290,868	308,320	325,278
Customer deposits y/y	**2%**	**12%**	**8%**	**5%**	**6%**	**5%**
Borrowings	0	0	0	0	0	0
Other Liabilities	6,795	6,555	7,202	8,144	9,250	9,758
Total liabilities	254,379	274,715	297,693	313,741	333,799	352,808
Total Liabilities y/y	**7%**	**8%**	**8%**	**5%**	**6%**	**6%**
Shareholders' funds	47,761	50,890	54,024	57,307	59,512	62,786

Source: AIB-AXYs research

DTB

We issue a **BUY** recommendation on DTB with a target price of KES 79.00 representing a 34% upside on the current price of KES 59.0. Our view is informed by an expectation of continued economic recovery expected to see an increase in lending activities improving income. We, however, remain concerned about the reducing efficiency.

- **New strategy:** The bank will soon begin to focus on "***DTB Strategy 2030'*** which seeks to position the Bank as a premier, digitally- driven SME Bank in East Africa. The strategy will require DTB to continue investing significantly in its people, new skills, technologies (Big Data analytics, Artificial Intelligence (AI), robotics, cloud computing, etc) and innovation. This is likely to keep the company's costs elevated.

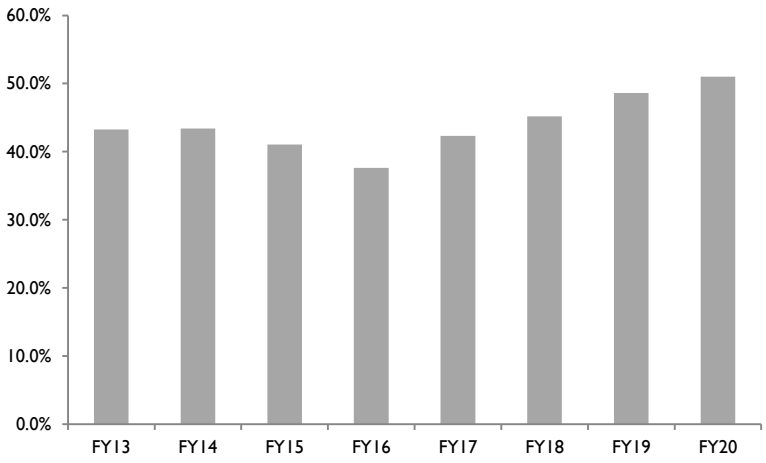
  The previous strategy, ***'DTB Vision 2020'***, aimed to make DTB a 'one-bank, one customer' omnichannel regional bank . It sought to provide seamless and consistent customer experience, across borders, through a multiplicity of channels – traditional (branches, agency banking, etc.) and digital channels (mobile and on-line banking platforms, cards, cash management solutions, digital branches, social media channels, etc.). The bank managed to reduce its reliance on its branch network as now 79% of transactions are conducted outside the branch.

- **Increasing Cost to income ratio:** DTB's cost to income (CTI) ratio touched a low of 38% in 2016; it then increased in the subsequent years following the acquisition of Habib bank. The costs are expected to remain elevated due to high staff cost (38% of total costs) and the expected investment in technology which should lead to a higher depreciation charge.

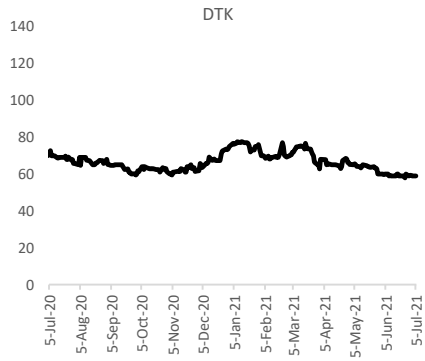
  Opportunities to reduce costs lie in the banks ability to close branches. In 2021, management has indicated that they will seek to merge and close branches (six in Kenya and five in Uganda)

Target Price:	**KES 79.00**
Upside:	**33.9%**
Current Price:	**KES 59.00**
52 Week Low:	**KES 57.50**
52 Week High:	**KES 78.50**
FY20 EPS:	**KES 11.61**
ROaE:	**5.3%**
ROaA:	**0.9%**

Graph 17: Cost-to-income



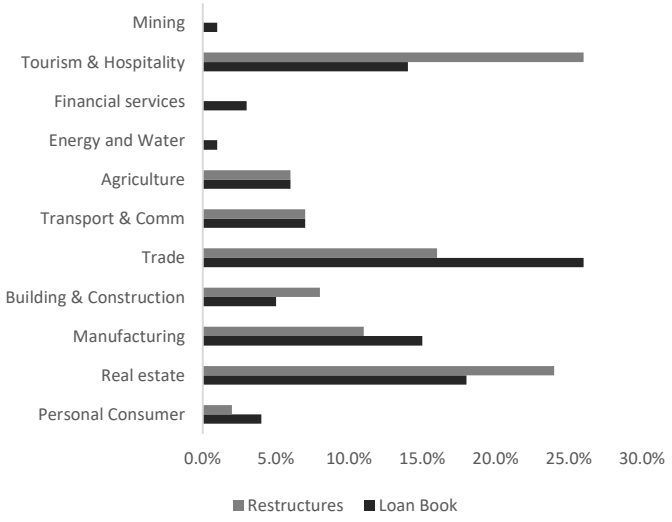
Source: AIB-AXYs research , Company Filings



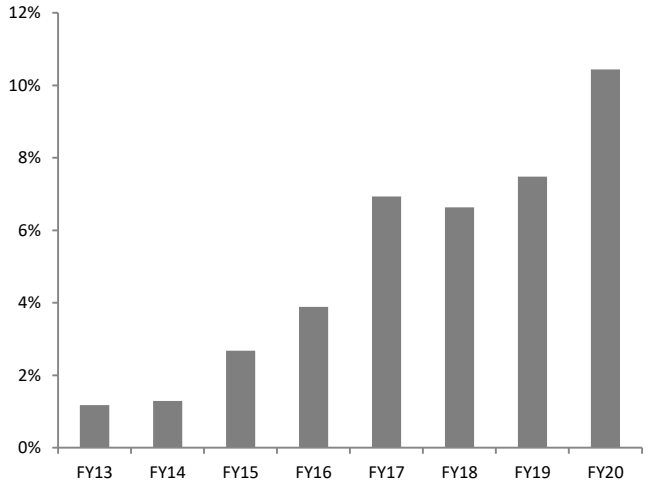
Source: AIB-AXYS Research, NSE

➢ **High NPL ratio:** The Bank's NPL ratio continued to increase due to its exposure to high-risk sectors (tourism & hospitality, transport & communication, Trade, and Real estate sectors). We expect DTB's NPL ratio to remain elevated as the economic environment gradually improves.

Graph 18: Loan Book Composition



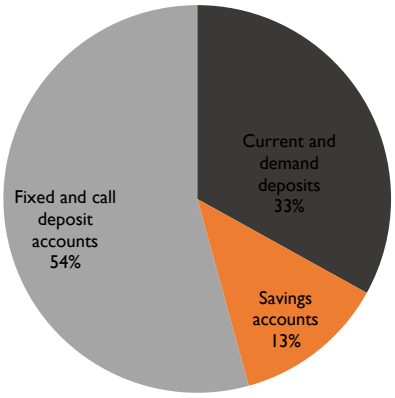
Graph 19: NPL Ratio



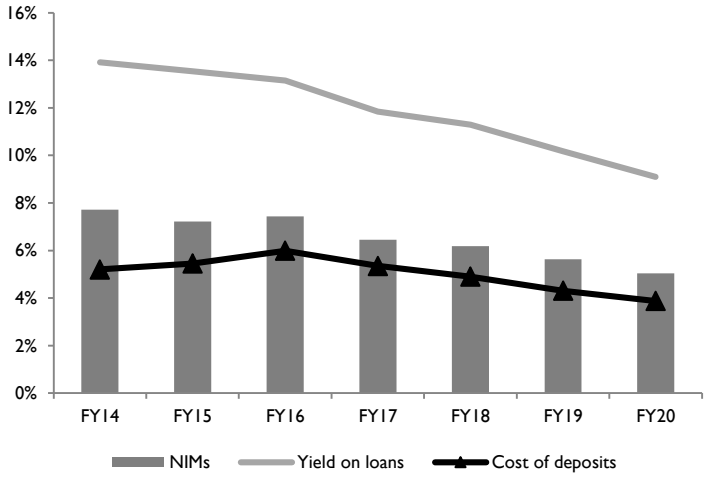
Source: AIB-AXYs research, Company Filings

➢ **NIM compression:** DTB's yield on loans are lower than most listed banks while its cost of deposit remains elevated. The low yield on loan may be partly explained by the fact that 45% of the bank's loan book is in foreign currency, which is lent at a lower rate than KES loans. Meanwhile the banks high deposit costs may be attributed to its deposit mix which is primarily in fixed and call deposits thus the bank is forced to offer relatively high rates in a bid to attract deposits.

Chat 1: Deposit Book



Graph 20: Net Interest Margin



Source: AIB-AXYs research, Company Filings

Table 8: Financial Statement Summary

Income Statement (KES M)	2019	2020	2021	2022	2023	2024
Interest income	32,851	31,090	32,395	35,542	38,645	41,278
Interest expense	-14,140	-13,010	-13,280	-14,113	-15,047	-15,858
Net interest income	18,711	18,079	19,114	21,429	23,598	25,420
Net interest income y/y		**-3%**	**6%**	**12%**	**10%**	**8%**
Non-funded income	5,770	6,122	6,499	6,643	7,315	7,880
Non-funded income y/y	**6%**	**6%**	**6%**	**2%**	**10%**	**8%**
Total operating income	24,481	24,202	25,613	28,072	30,913	33,300
Total operating income y/y %	**-4%**	**-1%**	**6%**	**10%**	**10%**	**8%**
Provision for impairment	-1,323	-7,324	-5,089	-4,292	-2,704	-2,691
Operating expenses	-11,902	-12,344	-13,114	-14,036	-15,457	-16,650
OpEx y/y	**3%**	**4%**	**6%**	**7%**	**10%**	**8%**
Profit before tax	11,263	4,668	7,411	9,745	12,753	13,959
PBT y/y	**2%**	**-59%**	**59%**	**31%**	**31%**	**9%**
Taxation	-3,994	-1,140	-1,853	-2,923	-4,464	-4,886
Effective tax rate	**-35%**	**-24%**	**-25%**	**-30%**	**-35%**	**-35%**
Profit After tax	7,269	3,529	5,558	6,821	8,290	9,074
PAT y/y	**3%**	**-51%**	**58%**	**23%**	**22%**	**9%**

Balance sheet						
Cash & balance with CBK	27,219	26,118	31,606	30,436	32,871	34,843
Government securities	130,328	138,381	142,225	150,490	157,051	164,538
Loans and advances to customers	199,089	208,593	221,240	238,417	257,491	269,069
Loans and advances y/y	**3%**	**5%**	**6%**	**8%**	**8%**	**4%**
Property and equipment	3,894	3,856	3,878	3,781	4,008	3,903
Total assets	386,230	425,054	449,180	476,226	507,750	533,569
Total assets y/y	**2%**	**10%**	**6%**	**6%**	**7%**	**5%**
	0%	**0%**	**0%**	**0%**	**0%**	**0%**
Deposits due to other banks	22,454	29,969	30,974	31,789	32,141	33,295
Customer deposits	280,187	298,167	316,057	338,181	365,235	387,149
Customer deposits y/y	**-1%**	**6%**	**6%**	**7%**	**8%**	**6%**
Borrowings	11,357	19,798	21,492	23,334	24,106	25,165
Other Liabilities	7,717	8,806	9,482	10,484	12,783	12,389
Total liabilities	321,715	356,740	378,004	403,788	434,264	457,997
Total Liabilities y/y	**-1%**	**11%**	**6%**	**7%**	**8%**	**5%**
Shareholders' funds	64,515	68,314	71,176	72,438	73,485	75,572

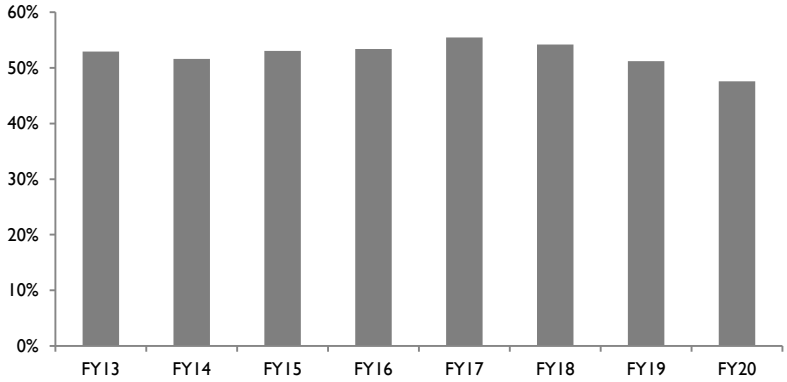
Source: AIB-AXYs research

Absa

We issue a **BUY** recommendation on Absa with a target price of KES 12.07 representing an upside potential of 28% on the current price of KES 9.42. Our view is informed by the bank's improved efficiency ratio, increased usage of technology, and growth of its non-funded income.

- **Investment in technology helps improving efficiency:** Absa's cost to income ratio has been declining as the bank's income grows at a faster rate than its cost. It has been able to contain costs by investing in technology and reducing its reliance on branches. The percentage of transactions outside the bank have increased to 87% from 34% in 2013 and 70% a year ago.

Graph 21: Cost to income ratio

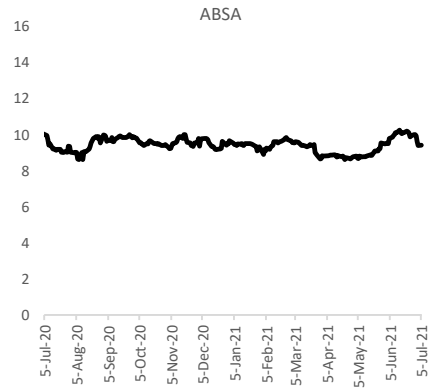


Source: AIB-AXYs research, Company Filings

- **Introduction of new products:** Over the past three years, the bank has tried to grow its business by introducing new products which include Timiza, Absa vertical debit and credit cards, a new Absa One Account, and revamping their SME Wezesha Biashara. Timiza was well received by their clients while the vertical cards have so far had a minimal impact on the bank. The Absa One Account is likely to help the bank grow its customer base. It's an all-in-one account with no minimum balance requirement and monthly fees and comes with a multicurrency prepaid card

  Meanwhile, the SME Wezesha Biashara will enable the bank to play a bigger role in the SME sector as it offers unsecured loans of up to KES 10M as well as LPO financing and invoice discounting.

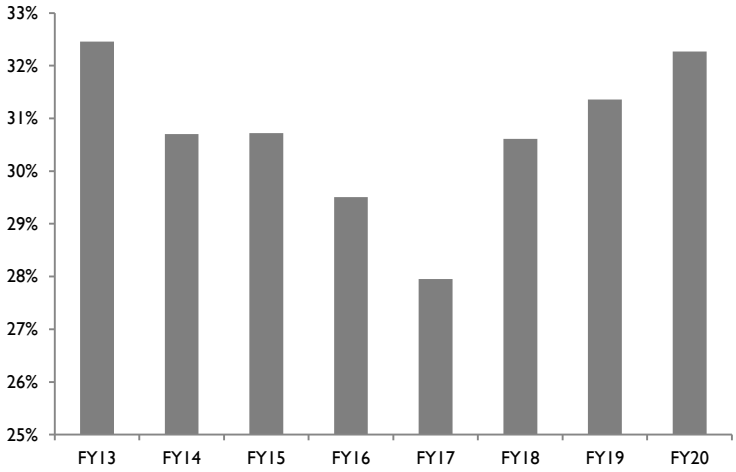
Target Price:	**KES 12.07**
Upside:	**28.1%**
Current Price:	**KES 9.42**
52 Week Low:	**KES 8.50**
52 Week High:	**KES 10.80**
FY20 EPS:	**KES 0.77**
ROaE:	**9.1%**
ROaA:	**1.1%**



Source: AIB-AXYS Research, NSE

- **Growth of non-funded income:** In FY20, Absa's non-funded income (NFI) was up 5.2% as the Bank's NFI to total income ratio improved to 32.2% from 31.1% in FY19. This growth was mainly driven by an increase in FX trading income which was up 22.2%. This growth may be attributed to the bank's focus on offering favourable FX rates to its retail clients in the branch and on its internet banking platform. The provision of wealth management services is also likely to grow this line item.

Graph 22: NFI/Total Income



Source: AIB-AXYs research, Company Filings

Table 9: Financial Statement Summary

Income Statement (KES M)	2019	2020	2021	2022	2023	2024
Interest income	31,024	31,440	32,508	38,409	42,273	46,199
Interest expense	-7,845	-8,059	-8,317	-9,324	-10,329	-12,050
Net interest income	23,179	23,381	24,191	29,085	31,943	34,149
Net interest income y/y		1%	3%	20%	10%	7%
Non-funded income	10,588	11,140	11,612	13,670	15,013	16,050
Non-funded income y/y	9%	5%	4%	18%	10%	7%
Total operating income	33,767	34,522	35,802	42,755	46,957	50,199
Total operating income y/y %	7%	2%	4%	19%	10%	7%
Provision for impairment	-4,201	-9,027	-6,512	-7,099	-7,774	-6,736
Operating expenses	-17,284	-16,412	-16,827	-19,988	-21,835	-23,217
OpEx y/y	1%	-5%	3%	19%	9%	6%
Profit before tax	10,753	5,646	12,464	15,668	17,348	20,246
PBT y/y	1%	-47%	121%	26%	11%	17%
Taxation	-3,296	-1,484	-3,739	-4,700	-6,072	-7,086
Effective tax rate	-31%	-26%	-30%	-30%	-35%	-35%
Profit After tax	7,457	4,162	8,725	10,967	11,276	13,160
PAT y/y	1%	-44%	110%	26%	3%	17%

Balance sheet						
Cash & balance with CBK	28,807	18,260	26,151	34,677	38,491	42,340
Government securities	122,996	126,057	138,602	151,710	166,794	181,710
Loans and advances to customers	194,895	208,855	217,055	239,846	266,229	292,852
Loans and advances y/y	**10%**	**7%**	**4%**	**11%**	**11%**	**10%**
Property and equipment	2,889	2,856	2,615	2,890	3,208	3,528
Total assets	373,982	379,440	411,359	453,685	501,987	550,421
Total assets y/y	**15%**	**1%**	**8%**	**10%**	**11%**	**10%**
Deposits due to other banks	4,083	4,076	4,184	4,335	4,811	5,293
Customer deposits	237,739	253,630	261,513	288,971	320,758	352,834
Customer deposits y/y	**15%**	**7%**	**3%**	**11%**	**11%**	**10%**
Borrowings	0	0	0	0	0	0
Other Liabilities	14,993	16,991	16,998	19,361	22,453	24,698
Total liabilities	328,792	332,937	361,461	399,848	444,633	487,952
Total Liabilities y/y	**17%**	**1%**	**9%**	**11%**	**11%**	**10%**
Shareholders' funds	45,189	46,504	49,898	53,837	57,354	62,469

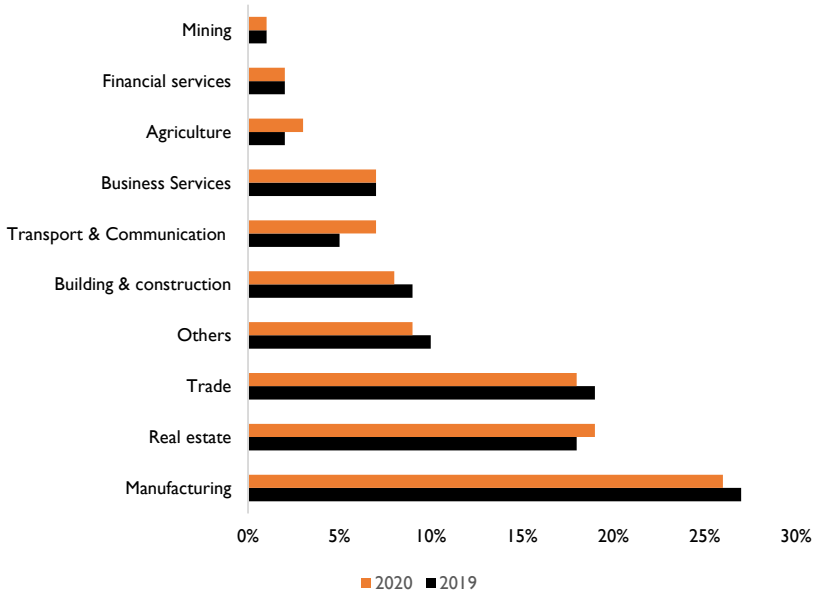
Source: AIB-AXYs research

I&M Holdings

We maintain our **BUY** recommendation on I&M Holdings at a target price of KES 36.49 representing an upside potential of 67.0% on the current price of KES 21.85. Our view is informed by an expectation of improved economic conditions which is expected to lead to an increase in lending.

- **Exposure to high-risk sectors to see provisions remain elevated:** The bank's loan book is expected to increase on the back of a recovery in the economy. The bank is expected to push its efforts to solidify its presence in the retail space with the anticipated economic recovery likely to boost its prospects. We anticipate that cost of risk may remain elevated given the bank's exposure to the high-risk sectors of manufacturing, real estate which is grappling declining rental yields due to low unit sales and low occupancy rates, and trade.

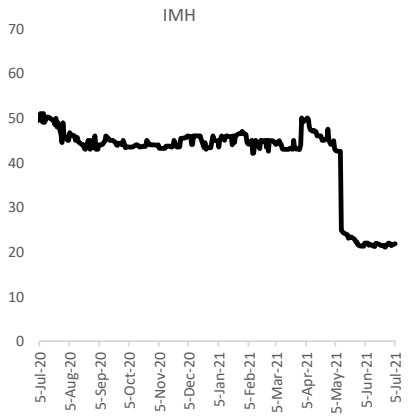
Graph 23: Loan Composition (%)



Source: AIB-AXYS Research, Company Filings

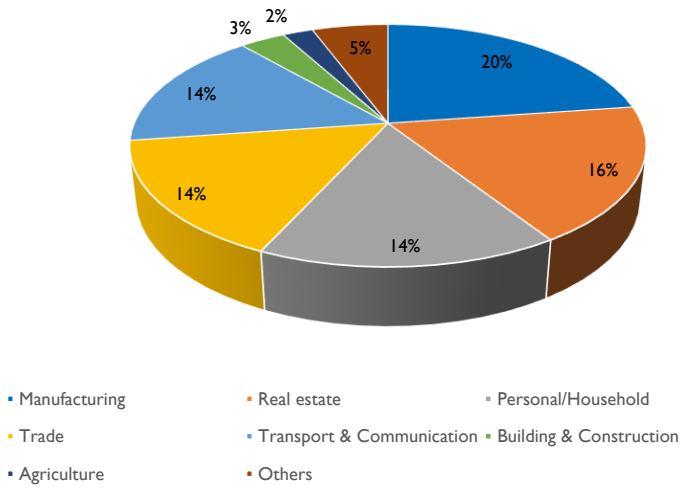
A look at the loan supports our view above with the highest restructures in manufacturing, real estate, transport and communication and the trade sectors which have been highly affected by slowdown in economic activities occasioned by the pandemic. However, as the economic outlook brightens, these sectors are anticipated to recover improving loan book performance for the lender.

Target Price:	**KES 36.49**
Upside:	**67.0%**
Current Price:	**KES 21.85**
52 Week Low:	**KES 20.50**
52 Week High:	**KES 27.25**
FY20 EPS:	**KES 9.77**
ROaE:	**13.1%**
ROaA:	**2.5%**



Source:AIB-AXYS Research, NSE

Graph 24: Loan Restructures

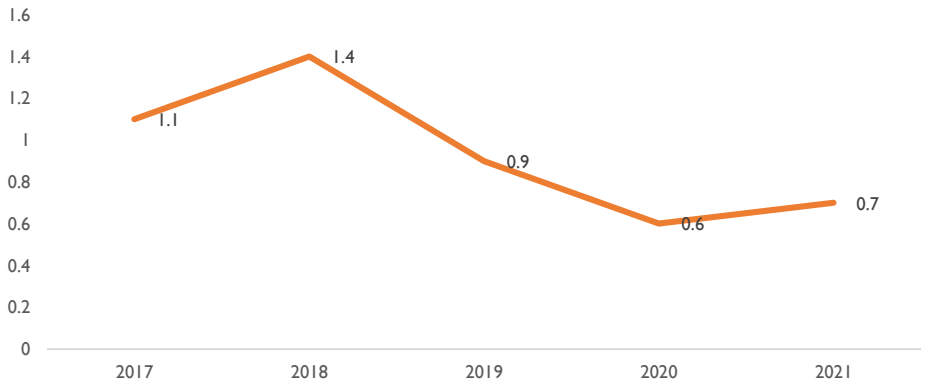


Source: AIB-AXYs research, Company Filings

- **Recovery in Mauritius:** The Group reported a loss before tax of KES 1.5B driven by a decline in the top line and an uptick in costs on the back of rising provisions. In addition to confinement measures slowing down economic activity, the Country has been grappling its placement as a "High Risk Third Countries" by the European Union (aka EU Blacklist). Profits for banks and consumer finance companies throughout 2020 were, as expected, severely impacted by additional impairments arising as a direct consequence of the pandemic.

  With the reduced international travel, tourism and hospitality, the second largest economic driver of the country, will continue to be highly affected by the pandemic. However, the silver lining remains in the rollout of vaccination jabs and reduced Covid infections driving positive sentiment on economic recovery, which is forecasted to grow at 7.2% in 2021. We expect the bank's earnings to improve as containment measures are eased, and the economy recovers. We, however, expect provisions to remain elevated as businesses gradually recover.

Graph 25: Mauritius PBT (KES B)



Source: AIB-AXYs research, Company Filings

Table 10: Financial Statement Summary

Income Statement (KES M)	2019	2020	2021	2022	2023	2024
Interest income	27,164	27,849	34,737	41,483	50,570	57,963
Interest expense	-11,654	-12,249	-13,556	-16,176	-19,134	-22,441
Net interest income	15,510	15,600	21,181	25,306	31,436	35,523
Net interest income y/y	**18%**	**1%**	**36%**	**19%**	**24%**	**13%**
Non-funded income	7,972	8,310	10,354	12,287	14,553	17,070
Non-funded income y/y	**29%**	**4%**	**25%**	**19%**	**18%**	**17%**
Total operating income	23,481	23,910	31,535	37,593	45,989	52,593
Total operating income y/y	**22%**	**2%**	**32%**	**19%**	**22%**	**14%**
Provision for impairment	636	2,473	3,201	3,324	4,033	4,436
Operating expenses	9,147	9,806	11,247	13,828	15,148	19,129
OpEx y/y	**42%**	**7%**	**15%**	**23%**	**10%**	**26%**
Profit before tax	13,698	11,631	17,086	20,440	26,808	29,027
PBT y/y	**49%**	**-15%**	**47%**	**20%**	**31%**	**8%**
Taxation	3,834	2,539	5,126	6,132	8,042	8,708
Effective tax rate	**28%**	**22%**	**30%**	**30%**	**30%**	**30%**
Profit After tax	13,698	11,631	17,086	20,440	26,808	29,027
PAT y/y	**49%**	**-15%**	**47%**	**20%**	**31%**	**8%**

Balance sheet						
Cash & balance with CBK	15,386	19,403	4,017	5,205	5,879	7,078
Government securities	53,924	101,711	122,126	144,304	170,511	200,663
Loans and advances to customers	175,329	187,391	228,668	277,006	336,076	369,698
Loans and advances y/y	**19%**	**7%**	**22%**	**21%**	**21%**	**10%**
Property and equipment	10,152	12,122	12,485	13,109	13,765	14,453
Total assets	315,291	358,100	418,138	498,595	594,450	671,807
Total assets y/y	**27%**	**14%**	**17%**	**19%**	**19%**	**13%**
Customer deposits	229,737	262,681	315,404	372,683	440,365	518,235
Customer deposits y/y	**20%**	**14%**	**20%**	**18%**	**18%**	**18%**
Borrowings	10,856	14,773	17,663	23,630	24,539	30,253
Other Liabilities	8,006	6,763	9,556	11,291	12,673	15,438
Total liabilities	254,429	290,037	353,633	418,626	488,029	573,075
Total Liabilities y/y	**22%**	**14%**	**22%**	**18%**	**17%**	**17%**
Shareholders' funds	60,862	68,063	64,505	79,969	100,198	120,270

Source: AIB-AXYs research



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- **BUY:** Issued on counters with strong fundamentals whose upside lies above 15.0%.
- **HOLD:** Issued on counters with an upside of between 5% and 14.9% with limited avenues for growth.
- **SELL:** The counter currently has weak fundamentals coupled with potential downside.

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